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Mkt. 555, Fall Quarter 2024, Hildebrand

Assignment 4: “The Product Life Cycle (PLC) of Arm & Hammer baking soda”.

Arm & Hammer, a famous brand mostly known for its baking soda products, has been in the market for a considerable amount of time. Through innovative marketing, product diversification, and adapting to changing consumer needs, the brand has effectively prolonged the Product Life Cycle (PLC) of its baking soda.

PAST EFFORTS TO EXTEND THE PLC

For more than 170 years, Arm & Hammer has produced baking soda, and throughout that time, the firm has employed a number of tactics to increase the product's lifespan. In an industry that is expanding slowly, baking soda is an established commodity, but Arm & Hammer's capacity for innovation and adaptation has kept the product current.

a. Product Diversification: Diversifying its products has been shown to be a highly successful strategy for Arm & Hammer in prolonging the durability of its baking soda. At first, the company only sold the product for baking and cooking, but eventually expanded its uses. As an example, Arm & Hammer began promoting baking soda as a deodorizer, cleaner, and personal care product. During the 1970s, Arm & Hammer placed a strong emphasis on the deodorizing features of their product, highlighting its effectiveness in eliminating smells from fridges, clothes, and footwear. Smaller, customized containers were implemented for refrigerators and carpet cleaners, enhancing the perceived worth of the items. This action took advantage of customer learning and made use of the flexibility of baking soda.

b. Brand Extension: It is also used brand extension as a tactic, introducing new products that leveraged the trust and recognition of the Arm & Hammer brand. These included laundry detergents, toothpaste, cat litter, and even deodorant, all featuring baking soda as a key ingredient. This not only added new revenue streams but also reinforced baking soda's versatility and relevance across different market segments. It was able to sustain customer interest and prolong the shelf life of its baking soda product by linking their major component, baking soda, with premium cleaning and personal care products.

c. Packaging Innovation: Arm & Hammer's innovation in packaging was another significant strategy. During the 1980s and 1990s, the company launched different packaging choices, like leak-proof bottles and resealable pouches, in order to enhance user satisfaction. These advancements maintained the product's novelty and enhanced usability for various uses, ultimately increasing its attractiveness to customers as time went on.

CURRENT STRATEGIES FOR EXTENDING THE PRODUCT LIFE CYCLE

Arm & Hammer's strategy to maintain the relevance of their baking soda in a saturated market includes ongoing diversification of products, engaging with customers, and implementing sustainability efforts.

a. Health and Wellness Trend Alignment: Customers are becoming more aware of wellness and health in today's market. In response, Arm & Hammer has started to market baking soda as a healthy, chemical-free substitute for cleaning and personal hygiene. For instance, their baking soda-infused toothpaste product highlights the advantages of good dental health and a dedication to eschewing harsh chemicals.

b. Sustainability and Environmental Awareness: Arm & Hammer is presently emphasizing sustainability by aligning its baking soda products with the increasing consumer demand for environmental accountability. The company capitalizes on the green movement by emphasizing that baking soda is a natural, non-toxic, and environmentally friendly product. Their advertising highlights that baking soda is environmentally safe and biodegradable, making it a perfect substitute for chemical cleaners. This strategy effectively extends the product's relevance in the current market.

c. Digital Marketing and Consumer Education: With the increasing popularity of digital marketing, Arm & Hammer has made a significant effort to engage with customers online by providing tips, ideas, and how-to guides on a range of uses for baking soda. They leverage influencer partnerships, their website, and social media profiles to educate clients about the various applications of baking soda. These digital marketing initiatives aim to spread the word about baking soda's versatility and importance as a household staple. Additionally, the organization continues to provide instructional materials about using baking soda for cutting edge trends like eco-friendly cleaning or personal hygiene practices. Continuing education raises the perceived value of baking soda, which in turn encourages brand loyalty and repeat purchases.

d. Leveraging Data and Customer Feedback: Through digital platforms, Arm & Hammer gathers feedback and keeps an eye on online conversations to obtain important insights about the tastes and habits of its customers. They may find new markets for their baking soda goods thanks to this data-driven strategy. For example, the introduction of baking soda into cosmetics and deodorants was prompted by consumer feedback about the advantages of natural personal care products.

FUTURE OPPORTUNITIES TO EXTEND THE PRODUCT LIFE CYCLE

a. Increased Focus on E-commerce and Subscription Models: In order to increase their market presence, Arm & Hammer should enhance their online selling strategies. Selling baking soda directly to consumers with subscription services may guarantee consistent buying. One example is if customers sign up to get baking soda regularly for cleaning, laundry, or personal hygiene purposes. Moreover, providing tailor-made packages (such as a "eco-friendly cleaning bundle") can improve customer interaction and ease of use. Targeting specialized audiences with influencer marketing and digital advertising is made possible by e-commerce. For instance, Arm & Hammer may collaborate with DIY or sustainability influencers to highlight creative use for baking soda.

b. Product Customization and Personalization: Personalization is becoming increasingly popular in consumer products, and Arm & Hammer could consider offering customized baking soda options. This may involve creating specialized baking soda packaging for various purposes or incorporating scents and other ingredients to attract present-day shoppers. Providing customized formulations designed for particular requirements can help maintain the product's appeal and relevance to consumers.

c. International Market Expansion: Although Arm & Hammer is a well-known brand in North America, there is potential for expansion in global markets. The company may choose to invest in marketing efforts aimed at consumers in areas where baking soda is not as popular or its advantages are not being fully utilized. Presenting the product as an affordable, flexible option for cleaning and personal hygiene in emerging markets has the potential to generate considerable opportunities for growth.

d. Sustainability Certifications and Collaborations: Arm & Hammer may consider obtaining third-party sustainability certifications, such as those from eco-labelling groups, to enhance their connection with the green movement. These certifications would enhance the firm's reputation in a market where consumers are increasingly environmentally conscious. Partnerships with environmental organizations or participation in sustainability campaigns can also enhance the company's reputation.

e. Expanding into New Sectors: They might explore the possibility of utilizing baking soda in different industries like agriculture or industrial cleaning. For example, advertising baking soda as a non-toxic, eco-friendly cleaning product in restaurants, hospitals, or schools may create opportunities for new business-to-business income. Moreover, collaborating with major retailers to provide sustainable cleaning options for companies may generate fresh interest.

EVALUATION OF CURRENT AND FUTURE STRATEGIES

a. What Arm & Hammer Is Doing Right: It has succeeded in repositioning their product for various purposes and leveraging consumer knowledge. Their emphasis on sustainability and adherence to health-conscious movements have enabled them to stay current. Furthermore, their digital marketing strategies are in sync with present-day consumer choices, enabling them to remain engaged with contemporary buyers.

b. What Arm & Hammer Could Improve: Innovation is one area that needs work. Despite Arm & Hammer's diversification into other industries, its product line might occasionally feel the same. The business should do more to set itself apart from the competition with its baking soda offerings or launch more sophisticated formulas tailored to particular applications, like a high-end personal care line.

c. Emphasize environmental responsibility and sustainability: Arm & Hammer can take advantage of the growing environmental consciousness among customers by focusing on sustainability. While baking soda is recognized as a natural and eco-friendly product, it could also be verified as sustainable by third-party organizations to gain consumer trust in its environmental impact. Additionally, creating biodegradable packaging or providing bulk/refillable options would appeal to the zero-waste movement. This attracts consumers who care about the environment and reinforces brand loyalty. Highlighting eco-friendly packaging in marketing campaigns could boost Arm & Hammer's image as a brand that cares about the environment. If the packaging prominently showcases labels such as "100% recyclable" or "eco-friendly," it will appeal to consumers who prioritize minimizing their environmental footprint.

d. Market for Health and Wellbeing: By looking into new wellness and medicinal applications, such as natural skincare products, the benefits of baking soda for self-care can

be increased. By launching bath soaks or exfoliating scrubs that highlight the benefits of using natural ingredients like baking soda for your health, Arm & Hammer may break into the beauty sector. Additionally, due of its alkalizing properties, baking soda is recommended for regulating pH levels or digestive health when used as a component in health supplements.

e. Expand Global Reach: Although Arm & Hammer is a familiar brand in North America, there is potential for significant growth by introducing its baking soda products to a global market. They had the ability to customize marketing for various regions by introducing baking soda in culturally relevant ways where it is less familiar. Join forces with neighborhood businesses encourage the use of baking soda as an affordable, natural substitute for chemical products by working with neighborhood businesses in underdeveloped countries.

CONCLUSION: Arm & Hammer has extended the longevity of its baking soda product by expanding its uses and venturing into new markets effectively. Progressing, they can leverage sustainability trends, bring in distinctive changes, expand globally, and emphasize educational marketing to uphold the product's importance. They need to keep focusing on the range of uses of baking soda while upholding a consistent brand communication. If they want to sustain their current success in the future, they should consider expanding their online presence, focusing on customizing products, exploring new markets, and reinforcing their commitment to sustainability.